two thirds vote. It got a sizable majority but failed to make the two thirds. I appeared in the press room and laid it on the House Democratic leadership where the blame properly lies.

Oct. 16-17 Camp David

. . . Saturday's radio broadcast was on the economy. I cited FDR and said our greatest problem now was fear itself.

Nov. 2

Election day!

I didn't have time to think about the election today. An N.S.C. briefing . . . on the MX, then an N.S.C. meeting . . . then a briefing on our upcoming budget situation. We really are in trouble. Our one time projections, pre-recession, are all out the window and we look at $200 billion deficits if we can't pull some miracles. Speaking of miracles and such the market went up more than 20 points . . .

Election: Lost 25 in House and had to expect that; it could have been worse. Held the Senate 54—46. Millicent Fenwick lost, I'm sorry. But high spot, we won governor and senator in California. Bye bye Brown.

Nov. 3

Did a press appearance in Rose Garden re the election returns. I'm sure they were worried I was so happy. P.M. [Giovanni] Spadolini of Italy arrived. I like him. We had a good meeting and then lunch. . . . Italy has become under him a dependable ally. . . . A lengthy budget meeting. We really face some tough decisions if we are going to reduce the deficits. . . . Meanwhile, the economy continues looking up. Today broke all time record on Wall Street for increase in a single day and all time record high—1065. Credit is given to election